

ON A ROLL

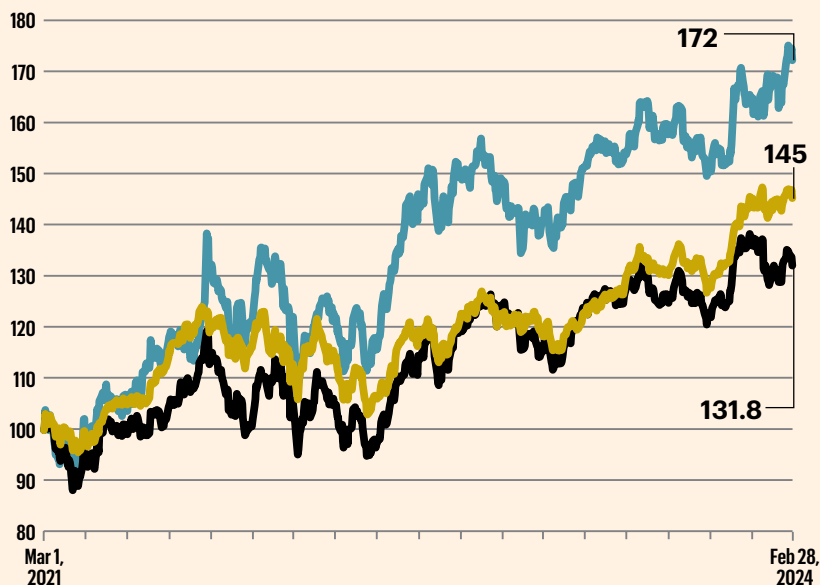
► From March 1, 2021, the ICICI Bank stock's price has increased 72%

► It has outperformed both the benchmark BSE Sensex and the BSE Bankex

● ICICI BANK ● BSE BANKEX
● BSE SENSEX

BASE PRICE INDEXED TO 100

SOURCE: ACE EQUITY



fray, making it essential to focus more on assessing the customer's creditworthiness because of the unsecured nature of the loan.

"The delinquency from retail loans (especially unsecured) might cause pain in the future. However, the underwriting process will be tested during downturns," says Kabi of LKP Securities.

Besides, it must contend with the impact of the merger of mortgage giant HDFC Ltd with HDFC Bank. This offers HDFC Bank a low-cost platform to provide mortgages. Experts suggest that HDFC Bank and SBI are the top two players, and though ICICI Bank is a relevant player, it is smaller than the two.

There are other areas of concern as well, like vehicle loans, whose share in the bank's mix has dipped from 9.5% to 7.6% despite the overall rise in retail. This has been attributed by many to the stress in the rural economy.

That brings us to the bank's star performer: the business banking

portfolio, which the bank classifies as transactions with small businesses. Its share has more than doubled from 3.2% to 7.4% in the last five years. The base of business banking was low, but the bank found new opportunities here.

"Since 2017-18, the bank has undertaken a three-pronged change in its approach towards the business banking segment. Firstly, we expanded the number of branches capable of serving small SMEs. Secondly, we have also revamped our underwriting process. Thirdly, we have offered digital solutions to enable convenient banking for SMEs," says Banerjee of ICICI Bank.

CASA PLAY

Elsewhere, Bakhshi's focus on building a robust granular deposit franchise confronts some structural challenges. The bank's CASA ratio—which helps it remain competitive, especially in the cutthroat home loan market—has declined, dropping from 49.6% in March 2019 to 39.6% by December 2023.

Meanwhile, the share of term deposits, which are relatively higher cost, has gone up from 50.4% in March 2019 to 60.4% in December 2023 at the cost of CASA deposits.

This decline mirrors a broader trend, as the CASA ratio across the banking system has also receded over the past year. "As deposit growth has intensified among banks, quality liability growth would be a key monitorable for the bank, given the competition from PSU banks. Nevertheless, the deposit growth (18.7% YoY in Q3FY24) till now was strong and above industry growth rates," says Kabi.

"We will continue to focus on a healthy funding profile as the underpinning of our growth," says Banerjee, the bank's CFO. In keeping with Bakhshi's rules, the bank will adjust the asset or loan mix based on the emerging funding profile. **BT**

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